

Economics 220:431:01 - Urban Economics

Syllabus Spring 2025

This syllabus is subject to change throughout the semester. Announcements in class, via e-mail, or on Canvas supersede anything written here.

Instructor: Hector Blanco

E-mail: hector.blanco@rutgers.edu (put Econ 431 in the subject!)

New Jersey Hall, Room 201A

Office Hours: Wednesdays 1.30-2.30pm in-person (or e-mail for appointment via Zoom or in-person). Use this Zoom [link](#).

Teaching Assistant: Md Wahid Ferdous Ibon (goes by “Ibon”)

E-mail: mfi16@economics.rutgers.edu (put Econ 431 in the subject!)

Lectures: Mondays and Wednesdays 3.50pm to 5.10pm at Frelinghuysen Hall (General Purpose Classroom): 1-FH-A6

Final exam: Wednesday, May 14th - 12pm to 3pm

Last day to drop: January 30th

Last day to withdraw with a W: March 24th

Any withdrawal after March 24th will result in an “F” grade

Course Description: This course is an introduction to the economic forces shaping cities. The course uses theoretical models and empirical methods to study the location decisions of firms and households and the factors driving urban growth. Students will learn about topics including agglomeration economies, housing, land use, segregation, transportation, and local government policies.

Prerequisite(s): Students taking this course must have passed Intermediate Microeconomics (220:320) and Econometrics (220:322) with a grade of C or better. I strongly suggest that you review the material from Econometrics if it has been a few semesters since you took the class.

Learning Goals: Students will build on their microeconomics knowledge to study real-world urban issues. This course will strengthen the students’ math and economic analysis skills from previous economics courses while providing practical experience with econometric methods by learning about empirical studies in urban economics. By the end of the course,

students will gain a deeper understanding of how cities function, the primary urban and housing challenges they face, and the public policies designed to address these issues.

Course materials: The course is based on my lecture notes and the assigned readings. While there is no required textbook, I strongly recommend reading one of the following textbooks along with the lecture notes:

- *Lectures on Urban Economics* by Jan Brueckner. First edition.
- *Urban Economics* by Arthur O’Sullivan. Ninth Edition.

Communication Policy:

- Ask questions related to class materials during lectures.
- Use the online forum Piazza. We will have threaded discussions (monitored by the instructor and the TA) for class-related topics, e.g., lectures, problem sets, and exams. I encourage you to use (and often check out) this resource: you will not only be able to get your questions answered but you will also benefit from seeing the answers to other students’ questions. This resource should allow you to get a timely, high-quality answer to most of your questions. You can sign up using this [link](#).
- Ask questions during the instructor’s office hours (see above).
- For personal class-related matters, e-mail is the best option: hector.blanco@rutgers.edu. All e-mails regarding this class must have “Econ 431” in the subject—this helps me filter important e-mails, so I can make sure to respond to you.

Communication about Assignments and Readings:

Announcements will be made via Canvas announcements. All students are required to check their Rutgers e-mail and the Canvas website—I would recommend logging in at least once a day. The way you have notifications set up on Canvas will determine whether important announcements get e-mailed to you or not.

Course Evaluation:

- **Problem Sets (35%):** There will be five problem sets. These assignments will provide hands-on practice and application of the economic and econometric concepts covered in the course. At least one of the problem sets will involve using statistical software to estimate linear regressions, as covered in Econ 322. The problem set with the lowest score will not count towards your final grade.
- **Readings (10%):** I will assign about 5-8 short readings consisting of news and academic articles related to the materials. Based on these readings, you will write a brief text (maximum half a page) briefly summarizing the article and answering any questions that I ask about the article. These readings are designed for you to think about the materials before they are covered in class. Your two lowest scores in these assignments will not count towards your final grade.

- **Midterm Exam (20%):** A midterm exam will be held during class time. The midterm date will be announced in class and via Canvas at least 1 week before it happens. A make-up exam will not be provided except in extenuating circumstances discussed with the professor.
- **Final Exam (35%):** The final exam is on **Wednesday, May 14th, 12pm to 3pm**. The final exam will be cumulative and include all announced lecture notes and readings.

Course Policies

- **Academic Dishonesty:** Please review the University's Academic Integrity policy: <http://academicintegrity.rutgers.edu/>. Academic misconduct will be taken very seriously. Any assignment for which you are explicitly allowed to work in groups should still be written up in your own words and turned in individually unless otherwise specified. You may not take any unauthorized materials into an exam.
- Makeup exams are only provided for extenuating circumstances. Barring extenuating circumstances, you must notify me within 24 hours of the missed exam.
- If you have a final exam conflict (more than 2 final exams on one calendar day, more than 2 final exams in consecutive periods, or 2 exams scheduled for the same time) please let me know as soon as you know and a make-up will be scheduled if required by the policies of the School of Arts and Sciences.
- **Regrading Policy:** If you believe your score on the mid-term or assignment was penalized incorrectly, you must turn in the exam or assignment with a typed description of why you want a particular question regraded and a clear and complete explanation of why you believe you deserve more credit. These should be handed back to me in class or in office hours within a week of receiving the exam or assignment. Obviously, if there is a simple addition error please bring it to our attention right away and we will fix it.
- **Late Work Policy:** Problem sets will be penalized 10% per 24 hours late, 50% per 48 hours late, and no late work will be accepted past that point. Reading assignments that are submitted late will not be accepted. I recognize that sometimes 'life happens'. As such, I will drop your lowest problem set score and your two lowest reading assignment scores. These may be non-submitted assignments.

Course Outline:

This is a rough guide to topics we will discuss and recommended textbook references that go along with each topic in parenthesis. Any additional readings will be announced via Canvas and in class.

PART I. Basics of Urban Economics

1. Introduction to Urban Economics [*Ref*: Brueckner (Ch 1), O’Sullivan (Ch 1, 2)]
 2. Empirical Methods for Microeconomics
 - Introduction to Causal Inference
 - Linear Regression
 - Quasi-Experiments, Differences-in-Differences
- Resources:*
- * *Mastering 'Metrics: The Path from Cause to Effect* by Joshua D. Angrist and Jörn-Steffen Pischke, Princeton University Press, edition 1, number 10363
 - * *Causal Inference: The Mixtape* by Scott Cunningham, publicly available [here](#)
 - * *The Effect: An Introduction to Research Design and Causality* by Nick Huntington-Klein publicly available [here](#)
3. Agglomeration Economies: Production and Amenities [*Ref*: Brueckner (Ch 1), O’Sullivan (Ch 7)]
 4. Systems of Cities [*Ref*: Brueckner (Ch 1), O’Sullivan (Ch 3, 4, 5, 6)]
 5. Spatial Equilibrium I: Monocentric City Model [*Ref*: Brueckner (Ch 2, 3), O’Sullivan (Ch 14)]
 6. Spatial Equilibrium II: Rosen-Roback Model and the Quality of Life [*Ref*: Brueckner (Ch 11)]

PART II. Topics in Urban Economics

7. Housing Demand and Tenure [*Ref*: Brueckner (Ch 6), O’Sullivan (Ch 12)]
8. Neighborhood Effects [*Ref*: O’Sullivan (Ch 15)]
9. Housing Policy [*Ref*: Brueckner (Ch 7), O’Sullivan (Ch 17)]
 - The Price of Housing: Cost of Living, Gentrification
 - Demand-Side Instruments: Housing Vouchers
 - Supply-Side Instruments: Public Housing, Subsidies
 - Rent Control
10. Land Use [*Ref*: Brueckner (Ch 4), O’Sullivan (Ch 16)]
11. The Role of Local Government [*Ref*: Brueckner (Ch 8), O’Sullivan (Ch 20,21)]
12. Additional Topics (time-permitting):
 - Transportation [*Ref*: Brueckner (Ch 5), O’Sullivan (Ch 18, 19)]
 - Crime [*Ref*: Brueckner (Ch 10), O’Sullivan (Ch 23)]
 - Environment, Climate Change [*Ref*: Brueckner (Ch 9)]

Student-Wellness Services:

- **Counseling, ADAP & Psychiatric Services (CAPS):** <http://health.rutgers.edu/medical-counseling-services/counseling/>. (848) 932-7884. 17 Senior Street, New Brunswick, NJ 08901. CAPS is a University mental health support service that includes counseling, alcohol and other drug assistance, and psychiatric services staffed by a team of professionals within Rutgers Health services to support students efforts to succeed at Rutgers University. CAPS offers a variety of services that include: individual therapy, group therapy and workshops, crisis intervention, referral to specialists in the community, and consultation and collaboration with campus partners.
- **Crisis Intervention:** <http://health.rutgers.edu/medical-counseling-services/counseling/crisis-intervention/>
- **Report a Concern:** <http://health.rutgers.edu/do-something-to-help/>
- **Violence Prevention & Victim Assistance (VPVA):** <https://vpva.rutgers.edu/>.(848) 932-1181. 3 Bartlett Street, New Brunswick, NJ 08901. The Office for Violence Prevention and Victim Assistance provides confidential crisis intervention, counseling and advocacy for victims of sexual and relationship violence and stalking to students, staff and faculty. To reach staff during office hours when the university is open or to reach an advocate after hours, call 848-932-1181.
- **Disability Services:** <https://ods.rutgers.edu/>. (848) 445-6800. Lucy Stone Hall, Suite A145, Livingston Campus, 54 Joyce Kilmer Avenue, Piscataway, NJ 08854. Rutgers University welcomes students with disabilities into all of the University's educational programs. In order to receive consideration for reasonable accommodations, a student with a disability must contact the appropriate disability services office at the campus where you are officially enrolled, participate in an intake interview, and provide documentation: <https://ods.rutgers.edu/students/documentation-guidelines/>. If the documentation supports your request for reasonable accommodations, your campus disability services office will provide you with a Letter of Accommodations. Please share this letter with your instructors and discuss the accommodations with them as early in your courses as possible. To begin this process, please complete the Registration form on the ODS web site at: <https://ods.rutgers.edu/students/registration-form/>.